

A NEW DAWN

THE SIMPLER INCOME TAX ACT COMES INTO EFFECT THIS APRIL, BRINGING IN NEW FORMS AND RULES. HERE IS WHAT IT MEANS FOR INDIVIDUAL TAXPAYERS

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SIXTY-FIVE YEARS after India enacted its last law on income taxes, the country's direct tax landscape is in for a 180-degree change as the new Income Tax (I-T) Act, 2025, comes into effect from April 1, replacing the Act of 1961.

The main objective of the exercise, announced in July 2024 by Union Finance Minister Nirmala Sitharaman, was to overhaul and simplify the I-T Act as it had gone through several changes over the years, making it difficult for common taxpayers to understand it.

After all, the I-Tax Act of 1961 had been amended nearly 65 times with more than 4,000 changes over six decades through annual Finance Acts and 19 separate Taxation Laws Amendment Bills, making it difficult for even experts to keep a tab on its minutiae.

The new Act aims to simplify and modernise the language, enable digital integration for faceless assessments and digital compliance to reduce human interface and corruption, help taxpayers, reduce litigation, and ensure that India's tax law is on a par with global standards. Accordingly, while it does not bring major changes to the direct tax regime and the tax rates, it has a more streamlined structure—536 sections versus 819 in the previous Act, 23 chapters as against 47 earlier, and 16 schedules as against 14.

The new Act has also introduced simpler terms like Tax Year, which will re-